

UGC NET Economics — PYQs

Unit 6 — Public Finance

129 questions · 14 papers (Dec 2018 – Dec 2025) · English only · with options · no answers

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Source: UGC NET Economics (Paper II) question papers / response sheets in D:\DIVYANSHU\09 UGC NET ECONOMICS\PYQ (Dec 2018 – Dec 2025; duplicate files skipped). Questions are grouped by the UPHESC Assistant Professor Economics syllabus units; original paper and question number shown next to each question. English only · with options · no answers. Micro (Unit 1) questions are in the separate Micro PDF. Dec 2019 paper file ends at Q145 (Q146–150 not in the source).

Unit 6 — Public Finance

UGC NET December 2018

Q1. Which of the following is not part of the Peacock-Wiseman Hypothesis? [December 2018 · Q.82]

- (1) Displacement Effect
- (2) Inspection Effect
- (3) Concentration Effect
- (4) Announcement Effect

Q2. An income tax will be progressive if [December 2018 · Q.83]

- (1) Marginal rate of tax is greater than the average rate of tax.
- (2) Marginal rate of tax is less than the average rate of tax.
- (3) Marginal rate of tax is equal to the average rate of tax.
- (4) Marginal rate of tax is zero.

Q3. The public expenditure in India is classified as capital and revenue. Which of the following is/are revenue expenditure? [December 2018 · Q.84]

- (i) Subsidies
- (ii) Interest payments on public debt
- (iii) Wages and salaries

Choose the correct answer from the code given below:

- (1) (i) and (ii)
- (2) (i) and (iii)
- (3) (ii) and (iii)
- (4) (i), (ii) and (iii)

Q4. Which of the following correctly describes the Musgrave and Thin's measure of tax progressivity? [December 2018 · Q.85]

where

G_a = Gini's coefficient after tax,

G_b = Gini's coefficient before tax.

- (1) $M = (1 - G_a)/(1 - G_b)$
- (2) $M = G_a/G_b$
- (3) $M = (1 - G_b)/(1 - G_a)$
- (4) $M = G_b/G_a$

Q5. GST which came into effect from 1st July, 2017 has four (04) tax slabs applicable to the commodities and services in India. Which of the following tax slabs are correct? [December 2018 · Q.86]

- (1) 5%, 12%, 18% and 28%
- (2) 5%, 8%, 12% and 18%
- (3) 8%, 12%, 18% and 28%
- (4) 8%, 12%, 15% and 18%

Q6. According to the Union Budget, which of the following Fiscal deficit targets for 2018 – 19 is correct? [December 2018 · Q.87]

- (1) 3.3% of the GDP
- (2) 4.3% of the GDP
- (3) 5.3% of the GDP
- (4) 4.5% of the GDP

Q7. Why are indirect taxes called regressive? [December 2018 · Q.88]

- (1) They are charged at higher rates than direct tax.
- (2) They are charged at the same rate for all income groups.
- (3) Both above are correct
- (4) None of the above are correct

Q8. Consider the following: [December 2018 · Q.89]

- (i) Fringe Benefits Tax
- (ii) Capital Gains Tax
- (iii) Securities Transaction Tax

Which of the above is/are Direct Tax/Taxes?

Choose the correct answer from the code given below:

- (1) (ii) and (iii)
- (2) (i), (ii) and (iii)
- (3) Only (i)
- (4) (i) and (iii)

Q9. Development expenditure of the Central Government does not include [December 2018 · Q.91]

- (i) Grant to States under Centrally sponsored schemes
- (ii) Expenditure on social and community services
- (iii) Expenditure on economic services
- (iv) Defence expenditure

Choose the correct answer from the code given below:

- (1) (i) and (ii)
- (2) (ii) and (iii)
- (3) Only (iv)
- (4) (iii) and (iv)

Q10. Given below are two statements, one labelled as Assertion (A) and the other labelled as Reason (R). Read the statements and choose the correct answer using the code given below.

[December 2018 · Q.133]

Assertion (A): A progressive income tax is based on equimarginal sacrifice.

Reason (R): Higher the income, lower will be the marginal utility of money for the tax payer.

- (1) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (2) Both (A) and (R) are true, but (R) is not the correct explanation of (A).
- (3) (A) is true, but (R) is false.
- (4) (A) is false, but (R) is true.

UGC NET June 2019 (21 June 2019, Shift 1)

Q11. Which of the following is an example of a public good? [June 2019 S1 · Q.86]

- (1) Residential building
- (2) National defence
- (3) Restaurant meals
- (4) Swimming pool of a house

Q12. A tax is said to be direct, when [June 2019 S1 · Q.87]

- (1) impact and incidence fall upon the same person
- (2) only incidence falls upon the same person
- (3) impact is shifted to another person
- (4) person escapes from paying tax

Q13. A toll tax is a tax based on which of the following? [June 2019 S1 · Q.88]

- (1) The benefit principle
- (2) Horizontal equity
- (3) Vertical equity
- (4) Tax progressively

Q14. Vertical equity in taxation means that [June 2019 S1 · Q.89]

- (1) people in different income groups should be taxed equally
- (2) people in different income groups should be taxed differently
- (3) people in different groups should be charged proportionately
- (4) unequal people should be treated equally

Q15. Which of the following is NOT part of Wiseman and Peacock hypothesis? [June 2019 S1 · Q.90]

- (1) Concentration effect
- (2) Displacement effect
- (3) Inspection effect
- (4) Taxation effect

Q16. Which one of the following is NOT the method of debt redemption? [June 2019 S1 · Q.91]

- (1) Refunding
- (2) Repudiation
- (3) Sinking fund
- (4) Capital levy

Q17. The concept of fiscal deficit implies which of the following? [June 2019 S1 · Q.92]

- (1) Revenue and interest receipts minus revenue expenditure
- (2) Revenue receipts and recovery of loans and other receipts minus total expenditure
- (3) Receipts minus disbursement in Capital Account
- (4) Total receipts minus total expenditure

Q18. During recession which of the following measures is initiated? [June 2019 S1 · Q.93]

- (1) Cutting taxes and boosting government spending
- (2) Increasing taxes and decreasing government spending
- (3) Keeping tax rates constant and increasing government spending
- (4) Increasing tax rates and keeping government spending constant

Q19. During a depression which of the following policy instruments should be used? [June 2019 S1 · Q.94]

- (1) Taxes should be increased
- (2) Taxes are kept unchanged and public expenditure is increased
- (3) Public expenditure is reduced
- (4) There should be a balanced budget

UGC NET December 2019 (3 Dec 2019, Shift 1)

Q20. Incidence of tax refers to: [December 2019 S1 · Q.73]

- (1) Whether a tax is progressive, proportional or regressive
- (2) An authority which collects the tax
- (3) The person or group who ultimately pays the tax
- (4) How a tax is collected?

Q21. 'Displacement effect' in the Peacock-Wiseman Hypothesis implies: [December 2019 S1 · Q.74]

- (1) An upward displacement of public expenditure according to higher economic growth
- (2) The movement from older level of public expenditure and taxation to a newer and higher level
- (3) Public expenditure increases at steady rate and reaches higher level
- (4) Government undertakes more and newer activities and hence public expenditure rises steeply upwards

Q22. Under which article of the Constitution of India, President is empowered to appoint the Finance Commission? [December 2019 S1 · Q.88]

- (1) 279
- (2) 280
- (3) 281
- (4) 282

Q23. On which date and year GST became effective in India? [December 2019 S1 · Q.101]

- (1) 1st April, 2017
- (2) 1st January, 2017
- (3) 1st July, 2017
- (4) 1st March, 2018

Q24. The whole burden of a tax will be borne by the consumer if [December 2019 S1 · Q.102]

- (1) The demand for commodity is perfectly elastic and supply is perfectly inelastic
- (2) The elasticity of demand for a commodity is same as the elasticity of supply of the commodity
- (3) The demand for a commodity is inelastic and supply is perfectly elastic
- (4) The elasticity of demand for a commodity is less than the elasticity of supply of that commodity

Q25. Match List-I with List-II: [December 2019 S1 · Q.116]

List - I	List - II
(a) Fiscal deficit	(i) Excess of total expenditure over total receipts
(b) Budget deficit	(ii) Excess of revenue expenditure over revenue receipts
(c) Revenue deficit	(iii) Excess of total expenditure over total receipts less borrowings
(d) Primary deficit	(iv) Excess of total expenditure over total receipts less borrowings and interest payments

Choose the correct option from those given below:

- (1) (a)-(iii), (b)-(i), (c)-(ii), (d)-(iv)
- (2) (a)-(i), (b)-(iii), (c)-(ii), (d)-(iv)
- (3) (a)-(iii), (b)-(i), (c)-(iv), (d)-(ii)
- (4) (a)-(iv), (b)-(iii), (c)-(ii), (d)-(i)

Q26. Arrange the following in chronological order: [December 2019 S1 · Q.126]

- (a) The Indirect Tax Enquiry Committee (Jha Committee)
- (b) Tax Reforms Committee (R.J. Chellaiah Committee)
- (c) Taxation Enquiry Commission (Mathur Committee)
- (d) The Direct Tax Enquiry Committee (Wanchoo Committee)

Choose the correct option from those given below:

- (1) (c), (b), (d), (a)
- (2) (c), (a), (d), (b)
- (3) (b), (c), (a), (d)
- (4) (c), (d), (a), (b)

Q27. The problem relating to burden of public debt has been dealt by [December 2019 S1 · Q.136]

- (a) A.P. Lerner
- (b) E.D. Domar
- (c) A.C. Pigou
- (d) A.H. Hansen

Select the correct answer from the options given below:

- (1) (a) and (b)
- (2) (b) and (c)
- (3) (a) and (d)
- (4) (b) and (d)

UGC NET June 2020 (exam held 30 Sep 2020, Shift 2)

Q28. The concept of Goods and Service Tax (GST) is originated in [June 2020 S2 · Q.103]

- (1) Canada
- (2) Britain
- (3) Germany
- (4) USA

Q29. Given below are two statements [June 2020 S2 · Q.104]

Statement I: Mrs Ursula K. Hicks stated that "Private finance, whether of firms or individuals, starts with a given income plans a framework within which expenditure must be planned; public finance, on the contrary, starts with a given expenditure plan and the authorities adjust their income by means of taxes and resources to match the expenditure

Statement II: Prof. Shiras pointed out that "Public authorities differ from private expenditure in that the former should balance income and should not necessarily seek a profit in the manner that an individual would"

In light of the above statements, choose the correct answer from the options given below

- (1) Both Statement I and Statement II are true
- (2) Both Statement I and Statement II are false
- (3) Statement I is true but Statement II is false
- (4) Statement I is false but Statement II is true

Q30. "The best system of taxation from the economic point of view is that which has the best or the least bad economic effects". Who said this? [June 2020 S2 · Q.105]

- (1) Musgrave
- (2) Marshall
- (3) Hugh Dalton
- (4) Pigou

Q31. Banking Cash Transaction Tax (BCTT) was introduced with effect from [June 2020 S2 · Q.111]

- (1) 1st Jan, 2015
- (2) 1st June, 2005
- (3) 1st Jan, 2019
- (4) 1st June, 2009

Q32. The combined liabilities of Centre and States as a percentage of GDP during the two years 2016-17 and 2017-18 consolidated is at [June 2020 S2 · Q.138]

- (1) 69 percent
- (2) 67 percent
- (3) 68 percent
- (4) 66 percent

Q33. Which of the following are the three states which secured the highest percentage of inter-se share of tax revenue among states, as per recommendations of the 14th Finance Commission? [June 2020 S2 · Q.139]

- (A) Uttar Pradesh
- (B) Bihar
- (C) Madhya Pradesh
- (D) Andhra Pradesh

Choose the most appropriate answer from the options given below:

- (1) A, B and D only
- (2) A, C and D only
- (3) A, B and C only
- (4) B, C and D only

Q34. Which of the following are forms of government borrowing? [June 2020 S2 · Q.140]

- (A) Drawing from treasury
- (B) Printing of currency notes
- (C) Borrowing from non-bank public institutions
- (D) Borrowing from the banking system

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, B and D only
- (3) A, B, C and D
- (4) A and D only

Passage / data for Q.146-150 (June 2020 S2)

Read the passage carefully and answer the questions that follows

The objectives of public finance are to ensure macroeconomic stability, achieve the desired state of distribution, provide public services to accelerate growth and development. Fiscal policy has both macro and microeconomic aspects. Further, the objectives include allocating resources for the provision of public services. The important point is that ensuring security and protection of property rights is a basic public good and this can be provided only by the government. The governments have the task of distributing incomes and alleviating poverty. After the Great Depression and influenced by Keynesian economics, public spending was assigned a central role. Thus, the role of public finance is inextricably linked to the role of the state. From merely ensuring safety, security and property rights, governments have expanded their activities to providing a variety of public services with externalities. The expansion has been a subject matter of debate. Musgrave considers that the expansion of the public sector has been a necessary and constructive development and strong public sector is needed along with the capitalist market. In contrast, Buchanan argues that dispute arises when the state expands to areas beyond the realm of boundaries of the protective state into a productive or tax-transfer state.

In India, state intervention through public finance policy has to play an important role besides ensuring the safety and security of people and their property rights. These include the need to overcome large social and physical infrastructure deficit, provide correctives to missing and imperfect markets, introduce measures to reduce acute inequalities and poverty and provide correctives to widespread information asymmetry. Interventions are needed also to provide externalities in terms of market development, irrigation, storage and price support in agriculture to deal with market imperfections and supply volatility. Similarly, generalized externalities have to be ensured for the manufacturing and service sectors through competitive levels of infrastructure. India's public finance policies have enabled the government to play a catalytic role in the development of the economy as a whole. In addition over the years, there has been a significant increase in transfers from the government such as for employment guarantee and food security, national housing scheme, Swachchh Bharat Abhiyan, Ujjawala Yojana, Pradhan Mantri Kisan Samman Nidhi, periodic loan waivers, etc.

Q35. Which one of the following objectives of public finance is NOT correct? [June 2020 S2 · Q.146]

- (1) Ensure macroeconomic stability
- (2) Ensure reduction of adverse balance of payments
- (3) Accelerate growth and development
- (4) Desired state of distribution

Q36. Which one of the following statements is correct? [June 2020 S2 · Q.147]

- (A) The expansion of the public sector has been a necessary and constructive development and a strong public sector is needed along with the capitalist market
- (B) There are several reasons for the state to embrace a much larger role
- (C) In India, state intervention through public finance policy has to play an important role
- (D) Keynesian economics states that the state has to ensure full employment

Choose the correct answer from the options given below:

- (1) A and B only
- (2) A, B and C only
- (3) A and C only
- (4) A, B, C and D

Q37. The statement, "Dispute arises when the state expands to areas beyond the realm of boundaries of the protective state into a productive or tax-transfer state", was given by [June 2020 S2 · Q.148]

- (1) Musgrave
- (2) Keynes
- (3) Dalton
- (4) Buchanan

Q38. The externalities of the government intervention in the economy can be found in terms of [June 2020 S2 · Q.149]

- (A) Market development
- (B) Money supply
- (C) Storage and price support in agriculture
- (D) Irrigation

Choose the correct answer from the options given below:

- (1) A, C and D only
- (2) A, B and D only
- (3) A, B and C only
- (4) A and D only

Q39. Which one of the following does NOT fall in the category of government transfers? [June 2020 S2 · Q.150]

- (1) National Housing
- (2) Swachhh Bharat Abhiyan
- (3) Periodic loan waivers
- (4) Education

UGC NET December 2020 & June 2021 (merged cycle, exam Nov 2021)

Q40. The movement from old level of expenditure and taxation to a new and higher level is called: [December 2020 · Q.23]

- (1) Concentration effect
- (2) Inspection effect
- (3) Displacement effect
- (4) All of the above

Q41. The efficiency condition in the production of pure public good requires that the production be carried out up to a point when: {where MB_i represents Marginal Benefit of the 'ith' individual and MB_j represents Marginal Benefits that accrue to the 'jth' individual and MC is the marginal cost}

[December 2020 · Q.25]

- (1) $MB_i + \sum MB_j = MC$
- (2) $MB_i + \sum MB_j > MC$
- (3) $MB_i + \sum MB_j < MC$
- (4) $MB_i - \sum MB_j > MC$

Q42. The 15th Finance Commission (FC) has recommended that the States be given what per cent of the divisible tax pool of the Centre during the period 2021-2022 to 2025-26? [December 2020 · Q.39]

- (1) 51
- (2) 31
- (3) 41
- (4) 61

Q43. Zero Based Budgeting (ZBB) lays emphasis on: [December 2020 · Q.62]

- (A) Allocation of resources based on cost-benefit terms
- (B) Unlimited deficit financing
- (C) Preparing a new budget right from the scratch
- (D) Preparing the budget, neglecting the history of expenditure

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, C and D only
- (3) B, C and D only
- (4) A, B and D only

Q44. Which of the following statements are relevant for Gender Budgeting? [December 2020 · Q.63]

- (A) Preparing a separate budget for women
- (B) Gender budget is not practised by the Government of India
- (C) Evaluating budgetary provisions with a gender perspective
- (D) Gender budgeting is a tool for Gender Empowerment

Choose the correct answer from the options given below:

- (1) A only
- (2) A and D only
- (3) C and D only
- (4) A, B, C and D

Q45. Match List I with List II [December 2020 · Q.71]

List - I	List - II
(A) Canons of Taxation	(I) U. K. Hicks
(B) Canons of Public Expenditure	(II) Adam Smith
(C) Effective Incidence of Tax	(III) Findlay Shirras
(D) Benefit received approach of Public Expenditure	(IV) Erik Lindahl

Choose the correct answer from the options given below:

- (1) A - II, B - III, C - I, D - IV
- (2) A - I, B - II, C - III, D - IV
- (3) A - II, B - III, C - IV, D - I
- (4) A - IV, B - I, C - II, D - III

Q46. Arrange the introduction of the following taxes in India in chronological order. [December 2020 · Q.80]

- (A) Service Tax
- (B) Income Tax
- (C) Banking Transaction Tax
- (D) Gift Tax
- (E) Goods and Services Tax

Choose the correct answer from the options given below

- (1) B, D, A, C, E
- (2) B, A, C, E, D
- (3) B, C, A, D, E
- (4) D, B, A, C, E

Q47. Given below are two statements, one is labelled as Assertion A and the other is labelled as Reason R [December 2020 · Q.87]

Assertion A: There is no incentive for a profit maximising producer to supply public goods

Reason R: If he produces it, he is unable to exclude people from consuming it and hence he cannot charge a price

In light of the above statements, choose the most appropriate answer from the options given below

- (1) Both A and R are correct and R is the correct explanation of A
- (2) Both A and R are correct but R is NOT the correct explanation of A
- (3) A is correct but R is not correct
- (4) A is not correct but R is correct

UGC NET December 2021 & June 2022 (merged cycle, exam Oct 2022)

Q48. The provision for social goods, or the process by which total resource use is divided between private and social goods and by which the mix of social goods is chosen is known as _____

[December 2021 · Q.23]

- (1) Allocation function
- (2) Distribution function
- (3) Stabilization function
- (4) Normalization function

Q49. Primary deficit is given by _____ [December 2021 · Q.24]

- (1) Fiscal deficit – Interest payments
- (2) Revenue deficit – Interest payment
- (3) Budget deficit – Interest Payment
- (4) Revenue Receipt – Revenue Expenditure

Q50. Which of the following strategy is not correct in order to have expansionary impact of fiscal policy? [December 2021 · Q.26]

- (1) Public expenditure must be financed by borrowings
- (2) Public expenditure must be financed through increased taxes only
- (3) Compensatory spending for public investment
- (4) Cut in taxes

Q51. Tools of expansionary Fiscal policy include [December 2021 · Q.44]

- (A) Raising Government expenditure
- (B) Reducing Government expenditure
- (C) Increasing tax rate
- (D) Reducing tax rate
- (E) Increasing money supply

Choose the correct answer from the options given below:

- (1) (A), (D) only
- (2) (B), (C) only
- (3) (A), (D), (E) only
- (4) (B), (C), (E) only

Q52. With reference to the views of classicals on public debt, which of the followings are correct :

[December 2021 · Q.57]

- (A) future financing gets more trouble some due to public debt
- (B) public debt leads to a reduction of resources for productive private employment
- (C) increasing public debt leads to currency depreciation and deflationary situations in the economy
- (D) Debt financing requires funds for interest payment and amortization, hence a double burden for exchequer
- (E) Public debt leads to productive activities

Choose the most appropriate answer from the options given below :

- (1) (A), (E) and (B) only
- (2) (C), (D) and (E) only
- (3) (E), (D) and (A) only
- (4) (A), (B) and (D) only

Q53. Match List I with List II : [December 2021 · Q.72]

List - I	List - II
(A) Pure Public good	(I) Non-rival but excludable
(B) Pure Private good	(II) Non-excludable but rivalry
(C) Open access resources	(III) Non-rival and non-excludable
(D) Congestible resource	(IV) Excludable and rival

Choose the correct answer from the options given below :

- (1) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)
- (2) (A)-(III), (B)-(IV), (C)-(II), (D)-(I)
- (3) (A)-(I), (B)-(II), (C)-(III), (D)-(IV)
- (4) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)

Q54. Criteria and weights assigned by the Fifteenth Finance Commission of India for Horizontal Devolution: [December 2021 · Q.84]

- (A) Area
- (B) Forest and Ecology
- (C) Income Distance
- (D) Tax and Fiscal efforts
- (E) Demographic performance

Choose the correct answer from the options given below :

- (1) (D), (B), (E), (A), (C)
- (2) (B), (D), (A), (E), (C)
- (3) (E), (A), (D), (C), (B)
- (4) (A), (D), (B), (C), (E)

Q55. Given below are two statements : [December 2021 · Q.86]

Statement I : If you bought a product which now becomes subject to tax, you will be in a better position to avoid the tax and the seller bears with a larger part if your demand is elastic while seller's supply is inelastic.

Statement II : A tax on salt is likely to be borne by the consumer.

In the light of the above statements, choose the most appropriate answer from the options given below :

- (1) Both Statement I and Statement II are correct
- (2) Both Statement I and Statement II are incorrect
- (3) Statement I is correct but Statement II is incorrect
- (4) Statement I is incorrect but Statement II is correct

UGC NET December 2022 (Shift 1)

Q56. Total Budget Allocation in year 2022-23 for "Har Ghar, Nal Se Jal" in rupees is: [December 2022 S1 · Q.24]

- (1) 50,000/- crore
- (2) 80,000/- crore
- (3) 60,000/- crore
- (4) 70,000/- crore

Q57. A toll is a tax on those citizens who use toll roads. This policy can be viewed as an application of [December 2022 S1 · Q.25]

- (1) The benefit principle
- (2) Horizontal equity
- (3) Vertical equity
- (4) Tax progressivity

Q58. The Free-rider problem arises: [December 2022 S1 · Q.27]

- (1) when goods are congestible.
- (2) when goods are of a rival nature.
- (3) when number of beneficiaries is large and exclusion of any one of them, is impossible.
- (4) when goods are available freely but on a first cum first serve basis till stocks last.

Q59. Which of the following are required for a good tax system? [December 2022 S1 · Q.55]

- (A) Revenue yield should be adequate.
- (B) Tax system should be so that different income groups of people pay tax equally.
- (C) Administrative and compliance cost of tax should be as minimum as possible.
- (D) Tax system should not permit scope for tax leakage and tax evasion.
- (E) Tax should be chosen to maximise interference with market efficiency.

Choose the correct answer from the options given below:

- (1) A and C only
- (2) A, C and E only
- (3) A, C and D only
- (4) A, B, C and D only

Q60. Federal transfers to states are required mainly: [December 2022 S1 · Q.56]

- (A) to offset unequal assignment of resources and responsibilities between Federal Government and State Government.
- (B) to correct spillovers of benefits of public goods between jurisdictions.
- (C) to address horizontal fiscal imbalances.
- (D) to augment resources of local bodies.
- (E) for overall efficiency of tax system.

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, C and D only
- (3) A, B, C and D only
- (4) A, B, C, D and E

Q61. Match List I with List II [December 2022 S1 · Q.71]

List - I	List - II
(A) Functional Finance	(I) Peacock and Wiseman
(B) Displacement effect	(II) Keynes and Learner
(C) Law of increasing state activity	(III) Wagner
(D) Allocative, stabilization and distributive function of state	(IV) Musgrave

Choose the correct answer from the options given below:

- (1) A - II, B - I, C - III, D - IV
- (2) A - IV, B - I, C - III, D - II
- (3) A - II, B - III, C - I, D - IV
- (4) A - I, B - II, C - IV, D - III

Q62. Arrange the following stages of the Budget in the correct sequence. [December 2022 S1 · Q.79]

- (A) Appropriation Bill.
- (B) General Discussion.
- (C) Finance Bill.
- (D) Presentation to the Legislative Assembly.
- (E) Voting on the Demand for Grants.

Choose the correct answer from the options given below:

- (1) B, C, E, A, D
- (2) A, B, E, C, D
- (3) D, A, C, B, E
- (4) D, B, A, C, E

Q63. Indicate the chronological sequence of the following in terms of their implementation in India. [December 2022 S1 · Q.80]

- (A) Service Tax
- (B) Expenditure Tax
- (C) State VAT
- (D) Income Tax
- (E) Goods and Services Tax (GST)

Choose the correct answer from the options given below:

- (1) B, D, C, A, E
- (2) D, B, C, A, E
- (3) D, B, A, C, E
- (4) B, A, D, C, E

Q64. Given below are two statements: [December 2022 S1 · Q.87]

Statement I: A rising ratio of interest payments to GNP imposes a burden because taxation is needed to finance the interest payment and imposes a dead weight loss.

Statement II: A rising rate of interest payment in the budget tends to crowd out other public programs.

In light of the above statements, choose the correct answer from the options given below:

- (1) Both Statement I and Statement II are true.
- (2) Both Statement I and Statement II are false.
- (3) Statement I is true but Statement II is false.
- (4) Statement I is false but Statement II is true.

Q65. Given below are two statements, one is labelled as Assertion (A) and the other is labelled as Reason (R). [December 2022 S1 · Q.88]

Assertion (A): The low income countries are far more likely to borrow money to finance their public sector expenditure.

Reason (R): Governments need not repay their loans, along with interest payment.

In light of the above statements, choose the correct answer from the options given below:

- (1) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (2) Both (A) and (R) are true but (R) is NOT the correct explanation of (A).
- (3) (A) is true but (R) is false.
- (4) (A) is false but (R) is true.

UGC NET December 2022 (Shift 2)

Q66. Who was the chairman of 14th Finance Commission in India ? [December 2022 S2 · Q.23]

- (1) Dr. Vijay Kelkar
- (2) Dr Y.V. Reddy
- (3) Dr. C. Rangarajan
- (4) Dr. N.K. Singh

Q67. The component which distinguishes primary deficit from fiscal deficit is : [December 2022 S2 · Q.27]

- (1) Non-debt component of capital receipt
- (2) Interest payment
- (3) Debt component of capital receipt
- (4) Revenue deficit

Q68. In the budget at glance, which of the following items are included ? [December 2022 S2 · Q.45]

- (A) budget estimate of the current year
- (B) Revised estimate of the current year
- (C) Actuals of the current year
- (D) Actuals for the preceding year
- (E) Budget estimate for the forthcoming year.

Choose the most appropriate answer from the options given below:

- (1) A and D only
- (2) A, B, D and E only
- (3) A, B and C only
- (4) C and D only

Q69. Which of the following are correct for the Finance Commission ? [December 2022 S2 · Q.54]

- (A) It is constituted under Article 380 of the Constitution
- (B) It is a statutory body
- (C) It is constituted under Article 280 of the Constitution
- (D) Prof. K C Pant was Chairman of 10th Finance Commission
- (E) Dr. Vijay Kelkar was Chairman of 14th Finance Commission.

Choose the most appropriate answer from the options given below.

- (1) B, C and D only
- (2) A, B and D only
- (3) C, D and E only
- (4) A, C and E only

Q70. Which of the following are true ? [December 2022 S2 · Q.55]

- (A) Product taxes will raise prices less under monopoly than under competition
- (B) A tax on capital income tends to be progressive, whereas tax on wage income tends to be regressive
- (C) The burden of tax will be distributed between sellers and buyers in the ratio of elasticity of demand to that of supply.
- (D) A unit tax enters through a parallel downward shift in the supply schedule
- (E) Imposition of tax raises price and quantity.

Choose the most appropriate answer from the options given below:

- (1) A and B only
- (2) A, B and C only
- (3) A, B, C and D only
- (4) A, B, C and E only

Q71. Which of the following are correct ? [December 2022 S2 · Q.56]

- (A) A competitive market can secure efficient resource use in the provision of private goods, but market failure occurs in that of social goods
- (B) Efficient provision of social goods involves horizontal rather than vertical addition of individual pseudo-demand schedules
- (C) To seek efficient provision of social goods, a political process of budget determination is needed
- (D) Corrective action may be needed when consumer choice is based on false advertising
- (E) There are mixed cases between the extremes of purely private and purely social goods.

Choose the most appropriate answer from the options given below:

- (1) A, B and C only
- (2) A, B and E only
- (3) A, B, C and D only
- (4) A, C, D and E only

Q72. Arrange the followings in ascending order on the basis of Fund Allocation (Budget 2022-23)

[December 2022 S2 · Q.79]

- (A) Ministry of Railways
- (B) Ministry of Defence
- (C) Ministry of Agriculture and Farmers Welfare
- (D) Ministry of Road Transport and Highways
- (E) Ministry of Rural Development.

Choose the correct answer from the options given below:

- (1) A, C, D, B, E
- (2) E, B, C, D, A
- (3) C, E, A, D, B
- (4) B, C, D, E, A

Q73. Arrange the following sources of revenue as per their share of contribution to total revenue in Union Budget 2022-23 in descending order. [December 2022 S2 · Q.80]

- (A) Custom Duty
- (B) Income Tax
- (C) GST
- (D) Union Excise Duty
- (E) Non debt capital receipts.

Choose the correct answer from the options given below:

- (1) E, B, C, D, A
- (2) E, C, B, D, A
- (3) C, B, D, A, E
- (4) C, B, A, D, E

UGC NET June 2023 (20 June 2023)

Q74. Which of following is a correct measure of gross fiscal deficit of the state government. [June 2023 · Q.73]

- (1) Revenue Expenditure (RE) + Capital disbursement – Revenue Receipts (RR)
- (2) RE + Repayment of loans to the Centre – RR
- (3) Revenue Deficit + Capital Outlays + Net Lending
- (4) RE + Discharge of Internal Debt – RR

Q75. Which of the following is not true in case of incidence of tax : [June 2023 · Q.74]

- (1) Imposition of tax raises price and lowers quantity.
- (2) The resulting price increase of tax rise will be dampened if the tax is imposed in monopolistic market.
- (3) One would be in a better position to avoid the tax and leave the seller with a larger part if demand is inelastic while supply is elastic.
- (4) A unit tax enters through a parallel upward shift in the supply schedule.

Q76. Which of the following are true in case of social goods : [June 2023 · Q.108]

- (A) Public goods are non-rivalry in nature.
- (B) Efficient provision of social goods needs a political process of budget determination.
- (C) Efficient provision of social goods involve horizontal rather than vertical addition of individual pseudo-demand-lines.
- (D) Among purely private and purely social goods, there are mixed cases which generate benefit or cost externalities
- (E) Individual consumers will not bid for social good, but will act as free-riders.

Choose the correct answer from the option given below :

- (1) A, C, D and E only
- (2) A, B, C and E only
- (3) A and B only
- (4) A, B, D and E only

Q77. Which of the following are true in case of Ramsey Rule for efficient taxation - [June 2023 · Q.109]

- (A) Tax rate should be higher on the good that has lower price elasticity of demand.
- (B) If the demand elasticity in a market is zero, taxes should be imposed only in that markets.
- (C) Ramsey rule applies to taxation of goods but not to taxation of income.
- (D) Ramsey rule minimises the excess burden of taxation across markets.
- (E) Ramsey rule does not necessarily result in social justice.

Choose the most appropriate answer from the option given below :

- (1) A, C, D and E only
- (2) A, B, D and E only
- (3) A, B, C and D only
- (4) A, C and D only

Q78. Match List I with List II [June 2023 · Q.121]

List - I	List - II
(A) Tax Evasion	(I) Bond Financing
(B) Effective incidence of tax	(II) Illegal free riding
(C) Legal incidence of tax	(III) Obligated to deliver tax revenue to Government
(D) Fiscal Illusion	(IV) Not necessarily correspond to on whom tax is imposed

Choose the correct answer from the options given below:

- (1) A-II, B-III, C-IV, D-I
- (2) A-III, B-I, C-II, D-IV
- (3) A-II, B-IV, C-III, D-I
- (4) A-IV, B-III, C-II, D-I

Q79. Arrange the relative weights in percentage assigned to following criteria by the XIV finance commission in ascending order. [June 2023 · Q.126]

- (A) Income distance
- (B) Area
- (C) Population (1971)
- (D) Demographic Change (2011 population)
- (E) Forest Cover

Choose the correct answer from the option given below :

- (1) B, E, D, C, A
- (2) E, D, B, C, A
- (3) A, C, D, B, E
- (4) E, B, D, C, A

Q80. Arrange states in ascending order based on loans from the central government for the year 2020-21 [June 2023 · Q.128]

- (A) Karnataka
- (B) Madhya Pradesh
- (C) Tamil Nadu
- (D) Gujarat
- (E) Maharashtra

Choose the correct answer from the option given below :

- (1) C, B, D, A, E
- (2) B, C, D, A, E
- (3) C, B, A, D, E
- (4) B, C, A, D, E

Q81. As per the total revenue received by the government under the head of GST on the domestic supply of goods and services for 2021-22, arrange the following states in ascending order : [June 2023 · Q.134]

- (A) Odisha
- (B) Rajasthan
- (C) Delhi
- (D) West Bengal
- (E) Madhya Pradesh

Choose the correct answer from the option given below :

- (1) D, C, E, B, A
- (2) E, B, A, C, D
- (3) B, E, C, A, D
- (4) C, E, A, D, B

Passage / data for Q.141-145 (June 2023)

The government of India's fiscal policy response to the covid crises comprised of a judicious mix of increasing food and fertilizer subsidies on the one hand and a reduction in taxes on fuel and certain imported products on the other. Despite these additional fiscal pressures the union govt. is back on track. The resilience in the fiscal performance of the union government has been facilitated by the recovery in economic activity buoyancy in revenues from direct taxes and goods and services tax (GST) and realistic assumptions in the budget. The gross tax revenue registered a YoY growth of 15.5% from April to November 2022, driven by robust growth in the direct taxes and GST. The gross GST-collection has increased at 24.8% on YoY during the same period. The Union Government's emphasis on capital expenditure (capex) has continued despite higher revenue expenditure requirements during the year. The center's capex has steadily increased from a long term average of 1.7 percent of GDP (FY09 to FY20) to 2.5% of GDP in FY22 PA. The center has also incentivized the state governments through interest free loans and enhanced borrowing ceilings to prioritize their spending on capex. Government has boosted allocations on infrastructure intensive sectors such as roads and highways, railways and housing and urban affairs, which has bearing on capex. This increase in capex will have implication for medium term growth and sustainable government debt to GDP ratio.

Q82. Which of the following strategies was not comprised India's Fiscal Policy response to Covid crises : [June 2023 · Q.141]

- (1) Increasing of food subsidy
- (2) Increasing of fertilizer subsidy
- (3) Reduction in taxes on certain imported products.
- (4) Increase in taxes on fuel.

Q83. Which of the following is not correct with respect to facilitation of resilience in fiscal performance of the union government : [June 2023 · Q.142]

- (1) Recovery in Economic activity
- (2) Buoyant GST revenues
- (3) Expenditure austerity measures pertaining to food and fertilizer subsidy
- (4) Realistic assumptions in budget

Q84. Which of the following strategy is adopted by Union Government to prioritise States' spending on capex. [June 2023 · Q.143]

- (1) Incentivizing for higher revenue expenditure
- (2) Incentivizing for interest free loans and enhance borrowing ceilings
- (3) Incentivizing for higher interest payment
- (4) Incentivizing for large spending on tax

Q85. The Capex of the union government for the period FY 09 to FY 20 on an average was [June 2023 · Q.144]

- (1) 2.5 percent of GDP
- (2) 15.5 percent of revenue receipts
- (3) 24.8 percent of GST revenue
- (4) 1.7 percent of GDP

Q86. In order to further enhance capex, allocation for which of the following infrastructure sector is not increased : [June 2023 · Q.145]

- (1) Ports and Waterways
- (2) Roads and Highways
- (3) Railways
- (4) Housing and Urban affairs

UGC NET December 2023 (12 Dec 2023, Shift 1)

Q87. If the revenue deficit of an economy is 3% of GDP, the primary deficit is 2% of GDP and the fiscal deficit is 7% of GDP, the capital expenditure to GDP ratio of that economy would be : [December 2023 S1 · Q.85]

- (1) 5% of GDP
- (2) 1% of GDP
- (3) 4% of GDP
- (4) 2% of GDP

Q88. Higher fiscal deficit to GDP ratio would necessarily cause inflation if the economy is under : [December 2023 S1 · Q.87]

- (1) Demand constrained situation
- (2) Supply constrained situation
- (3) Both demand and supply constrained situation
- (4) Neither demand constrained nor supply constrained situation

Q89. Given below are two statements : one is labelled as Assertion (A) and the other is labelled as Reason (R). [December 2023 S1 · Q.140]

Assertion (A) : According to the Domar condition of debt sustainability, the public debt would not rise as proportion of GDP if the effective interest rate on government liabilities happens to be less than or equal to the growth rate of GDP at current price.

Reason (R) : Growth rate of GDP of an economy at current price is bound to be less than the effective interest rate on the government bonds.

In the light of the above statements, choose the most appropriate answer from the options given below :

- (1) Both (A) and (R) are correct and (R) is the correct explanation of (A)
- (2) Both (A) and (R) are correct but (R) is not the correct explanation of (A)
- (3) (A) is correct but (R) is not correct
- (4) (A) is not correct but (R) is correct

UGC NET August 2024 (28 Aug 2024, Shift 1)

Q90. Which of the following is the biggest item of grants-in-aid to the states assigned by the Fifteenth Finance Commission? [August 2024 S1 · Q.62]

- (1) Disaster risk management grants
- (2) Revenue deficit grants
- (3) Local bodies grants
- (4) Sector specific grants

Q91. Arrange the following taxes in the sequence in which they were introduced starting from earliest to latest? [August 2024 S1 · Q.93]

- (A) Commodities Transaction Tax
- (B) Securities Transaction Tax
- (C) Banking Cash Transaction Tax
- (D) Minimum Alternate Tax
- (E) Angel Tax

Choose the correct answer from the options given below:

- (1) (D), (A), (E), (B), (C)
- (2) (B), (C), (A), (E), (D)
- (3) (D), (B), (C), (E), (A)
- (4) (C), (D), (B), (A), (E)

Q92. Arrange the following norms of tax revenue devolution formula of the Fifteenth Finance Commission in order of their weightages starting from the highest. [August 2024 S1 · Q.104]

- (A) Income distance
- (B) Area
- (C) Demographic performance
- (D) Forest and Ecology
- (E) Tax effort

Choose the correct answer from the options given below:

- (1) (A), (B), (C), (D), (E)
- (2) (A), (D), (B), (E), (C)
- (3) (B), (A), (C), (E), (D)
- (4) (C), (D), (A), (B), (E)

Q93. Consider the following statements regarding public good: [August 2024 S1 · Q.125]

- (A) Public good is nonexclusive
- (B) Public good is national defense
- (C) Public good is rival
- (D) Public good provides benefits to people at non-zero marginal cost
- (E) Public good creates inefficiency in consumption

Choose the correct answer from the options given below:

- (1) (A) and (B) only
- (2) (B) and (C) only
- (3) (C) and (D) only
- (4) (D) and (E) only

Passage / data for Q.146-150 (August 2024 S1)

Read the following passage and answer the questions.

For a financial year, the Budget was presented by the government. Some major heads and items are highlighted here. Total receipts was Rs. 400 crore, of which revenue receipts was Rs. 250 crore and capital receipts was Rs. 150 crore. In the total revenue receipts, tax revenue receipts contributed Rs. 220 crore and non-tax revenue receipts contributed Rs. 30 crore respectively. In the total capital receipts, Borrowings and other liabilities were Rs. 100 crore. Out of total revenue expenditure of Rs. 300 crore, interest payments was Rs. 90 crore and grants for creation of capital assets was Rs. 20 crore. Out of total capital expenditure of Rs. 100 crore, scheme expenditure was Rs. 75 crore and other than scheme expenditure was Rs. 25 crore. The country's GDP at current prices for the given financial year was Rs. 2000 crore. On the Balance of payments accounts, the current account deficit was Rs. 50 crore.

Q94. What was the fiscal deficit as percentage of GDP? [August 2024 S1 · Q.146]

- (1) 5%
- (2) 10%
- (3) 12.5%
- (4) 15%

Q95. What was the revenue deficit as percentage of GDP? [August 2024 S1 · Q.147]

- (1) 2.5%
- (2) 3.0%
- (3) 3.5%
- (4) 4.0%

Q96. What was the primary deficit as percentage of GDP? [August 2024 S1 · Q.148]

- (1) 0.2%
- (2) 0.3%
- (3) 0.4%
- (4) 0.5%

Q97. What was the effective revenue deficit as percentage of GDP? [August 2024 S1 · Q.149]

- (1) 0.5%
- (2) 1.0%
- (3) 1.5%
- (4) 2.0%

Q98. What was the twin deficit as percentage of GDP? [August 2024 S1 · Q.150]

- (1) 2.5%
- (2) 5.0%
- (3) 7.5%
- (4) 10.0%

UGC NET December 2024

Q99. Match LIST-I with LIST-II [December 2024 · Q.57]

List - I	List - II
(A) Lindhal's Theory	(I) Production of Public Goods
(B) Club Theory	(II) Constant growth of employment in Government agencies
(C) Parkinson's Law	(III) Pricing of Public Goods
(D) Hotelling Rule	(IV) Pricing of exhaustible resources

Choose the correct answer from the options given below:

- (1) A-III, B-I, C-II, D-IV
- (2) A-I, B-III, C-IV, D-II
- (3) A-I, B-III, C-II, D-IV
- (4) A-IV, B-I, C-II, D-III

Q100. Advantages of Indirect Tax are : [December 2024 · Q.67]

- (A) It is difficult to evade
- (B) It is elastic in nature
- (C) It is convenient to pay
- (D) It is based on the ability to pay of the tax - payer

Choose the correct answer from the options given below:

- (1) C, B Only
- (2) C, D Only
- (3) A, B, C Only
- (4) A, C, D Only

Q101. When with the increase in income, the percentage of income as tax falls, it is called

[December 2024 · Q.72]

- (1) Progressive tax
- (2) Proportional Tax
- (3) Neutral Tax
- (4) Regressive Tax

Q102. Which of the following is not correct? [December 2024 · Q.114]

- (1) Public debt transfers fund from public to government.
- (2) Public borrowing curtails consumption.
- (3) Taxation curtails consumption.
- (4) Government borrowing does not effect income distribution.

Q103. Vertical equality in taxation requires that : [December 2024 · Q.116]

- (1) People in different income groups should be taxed equally.
- (2) People in different income groups should be taxed differently
- (3) People in different income groups should be taxed proportionately
- (4) No tax on the basis of individual income

Q104. If government expenditure rises by Rs. 100, total tax revenue rises by Rs. 100, the value of marginal propensity to consume is 0.5 & there is no change in autonomous investment & consumption, in a simple Keynesian closed - economy model, GDP rises by: [December 2024 · Q.140]

- (1) Rs. 0
- (2) Rs. 100
- (3) Rs. 200
- (4) Rs. 400

UGC NET June 2025 (29 June 2025, Shift 2)

Q105. Which of the following is not true according to classical's views on public debt? [June 2025 S2 · Q.78]

- (1) Public debt financing requires funds for interest payment and amortization, hence a double burden on tax payers.
- (2) Public debt financing supports compensatory budget policy as a tool for stimulating aggregate demand.
- (3) Public debt creates barren production and consumption and burden is transferred to future generation.
- (4) Public debt destroys capital which otherwise could be used productively

Q106. Which of the followings is not true? [June 2025 S2 · Q.79]

- (1) The effect of any tax can be decomposed into an income effect and substitution effect.
- (2) There is a substitution effect associated with a lump-sum tax, but no income effect.
- (3) The greater the substitution effect, the greater is the deadweight loss.
- (4) There is also a deadweight loss associate with the reduction in prices received by producers as a result of imposition of tax.

Q107. Which of the followings is true in case of a good i.e., "Crowded City side Walk"? [June 2025 S2 · Q.80]

- (1) It is non-excludable and non-rivalry in nature.
- (2) It is excludable but non-rivalry in nature.
- (3) It is non-excludable but rivalry in nature.
- (4) It is excludable and rivalry in nature.

Q108. Arrange the following tax reform committees on the basis of their year of constitution starting from the oldest. [June 2025 S2 · Q.93]

- (A) Raja Chelliah tax reform committee
- (B) T. R. Rastogi Committee on Service tax reforms
- (C) Vijay Kelkar committee on tax reforms
- (D) Parthasarathi Shome committee on direct tax
- (E) K. L. Rekhi committee on indirect tax

Choose the correct answer from the options given below:

- (1) A, E, C, B, D
- (2) E, A, C, B, D
- (3) A, E, D, C, B
- (4) D, E, A, C, B

Q109. Arrange the following Chairman of Finance Commission in order of their appointment starting from the oldest. [June 2025 S2 · Q.94]

- (A) A. M. Khusro
- (B) C. Rangarajan
- (C) N. K. P. Salve
- (D) K. Bramhananda Reddy
- (E) K.C. Pant

Choose the correct answer from the options given below:

- (1) A, C, E, D, B
- (2) C, E, A, D, B
- (3) B, D, E, C, A
- (4) D, C, E, A, B

Q110. Arrange the following items on the basis of the expenditure allocation made in the union budget 2025-26 in descending order. [June 2025 S2 · Q.95]

- (A) Agriculture and Allied activities
- (B) Education
- (C) Defense
- (D) Commerce and Industry
- (E) Rural Development

Choose the correct answer from the options given below:

- (1) E, C, A, D, B
- (2) C, E, A, B, D
- (3) C, A, E, D, B
- (4) A, E, C, B, D

Q111. Arrange the following union government deficits as percentage of GDP for the year 2023-24 in ascending order as per union budget 2025-26. [June 2025 S2 · Q.101]

- (A) Fiscal deficit
- (B) Effective Revenue deficit
- (C) Primary deficit
- (D) Current Account deficit
- (E) Revenue deficit

Choose the correct answer from the options given below:

- (1) D, B, A, C, E
- (2) D, A, B, C, E
- (3) D, B, C, E, A
- (4) D, C, B, E, A

Q112. Arrange the expenditure allocation to following items, as % of total union government expenditure as per the union budget 2025-26 in ascending order. [June 2025 S2 · Q.105]

- (A) Finance Commission and Other Transfers
- (B) Interest Payment
- (C) Pensions
- (D) Major Subsidies
- (E) Central Sector Schemes (excluding capital outlay on defense and subsidies)

Choose the correct answer from the options given below:

- (1) A, D, E, C, B
- (2) C, D, A, E, B
- (3) E, C, D, A, B
- (4) C, D, E, B, A

Q113. Which of the followings are not true pertaining to Wagner's Law of increasing state activities? [June 2025 S2 · Q.116]

- (A) Wagner's Law is classified as positive theory of public expenditure.
- (B) Public sector in industrializing nations grow as a proportion of total economic activity with the increase in per capita income and output.
- (C) Proportionate increase in public sector is not constant but increasing with the increase in total economic activity.
- (D) The law accounts for the effect of war on public expenditure.
- (E) Public expenditure tends to grow in a stepwise manner.

Choose the most appropriate answer from the options given below:

- (1) A, B & D Only
- (2) B, C & E Only
- (3) B & C Only
- (4) D & E Only

Q114. Match List - I with List - II [June 2025 S2 · Q.134]

List - I	List - II
List-I (Criteria of 15th finance commission)	List-II (Weights as per the recommendation of 15th finance commission for horizontal devolution)
(A) Income distance	(I) 15%
(B) Population	(II) 12.5%
(C) Demographic performance	(III) 45%
(D) Forest and Ecology	(IV) 10%

Choose the correct answer from the options given below:

- (1) A-III, B-IV, C-I, D-II
- (2) A-II, B-I, C-III, D-IV
- (3) A-III, B-I, C-II, D-IV
- (4) A-I, B-IV, C-II, D-III

Q115. Match List - I with List - II [June 2025 S2 · Q.135]

List - I	List - II
List-I (Items of receipts)	List-II (Share to total receipt in % as per union budget 2025-26)
(A) Income tax	(I) 4%
(B) Custom	(II) 5%
(C) Corporation tax	(III) 22%
(D) Union excise	(IV) 17%

Choose the correct answer from the options given below:

- (1) A-IV, B-II, C-III, D-I
- (2) A-III, B-I, C-II, D-IV
- (3) A-III, B-I, C-IV, D-II
- (4) A-IV, B-II, C-I, D-III

UGC NET December 2025 (Exam held 31 Dec 2025 - 7 Jan 2026)**Q116.** Match List - I with List - II (As per Union Budget, 2025-26). [December 2025 · Q.52]

List - I	List - II
(A) Pensions as % of Central Government Expenditure	(I) 22%
(B) State's share of taxes and duties as % of Central Govt. Expenditure	(II) 18%
(C) Tax-GDP ratio of India	(III) 81.3%
(D) Debt-GDP ratio of India	(IV) 4%

Choose the correct answer from the options given below:

- (1) A-II, B-I, C-III, D-IV
- (2) A-II, B-III, C-I, D-IV
- (3) A-IV, B-III, C-I, D-II
- (4) A-IV, B-I, C-II, D-III

Q117. Identify the Finance commissions with its chairman: [December 2025 · Q.53]

- (A) 12th Finance commission - C. Rangarajan
- (B) 11th Finance commission - A.M. Khusro
- (C) 14th Finance commission - R.K. Singh
- (D) 15th Finance commission - Y.V. Reddy

Choose the correct answer from the options given below:

- (1) A and D
- (2) B and C
- (3) C and D
- (4) A and B

Q118. Match List - I with List - II. [December 2025 · Q.54]

List - I	List - II
(A) 14th Finance Commission	(I) Vertical Tax Devolution 41 percent
(B) 15th Finance Commission	(II) Vertical Tax Devolution 42 percent
(C) 12th Finance Commission	(III) State's share 32% of the central taxes
(D) 13th Finance Commission	(IV) State's share 30.5 percent of central taxes

Choose the correct answer from the options given below:

- (1) A-IV, B-III, C-II, D-I
- (2) A-IV, B-III, C-I, D-II
- (3) A-III, B-IV, C-I, D-II
- (4) A-II, B-I, C-IV, D-III

Q119. When public revenue increases by more than 1% for a 1% increase in GDP, it is known as:

[December 2025 · Q.62]

- (1) CENVAT
- (2) Inelastic Tax system
- (3) Proportional Tax system
- (4) Tax buoyancy

Q120. Which Tax is also popularly known as the 'destination tax'? [December 2025 · Q.72]

- (1) Customs Duty
- (2) Corporate Tax
- (3) Goods and Services Tax
- (4) Central Excise Duty

Q121. Arrange the following in a correct chronological order. [December 2025 · Q.82]

- (A) Shankar Acharya Committee on shifting financial year from (April-March) to (Jan-Dec)
- (B) Parthasarathy Shome Committee on retrospective tax laws.
- (C) Vijay Kelkar Committee on Tax reforms.
- (D) Arvind Subramanyam Committee on revenue neutral GST.

Choose the correct answer from the options given below:

- (1) A, B, C, D
- (2) C, A, D, B
- (3) C, B, D, A
- (4) A, D, B, C

Q122. Which of the following are called 'club goods'? [December 2025 · Q.84]

- (A) Railways
- (B) Swimming pool
- (C) Defense
- (D) Gym

Choose the correct answer from the options given below:

- (1) B and D only
- (2) A and B only
- (3) B and C only
- (4) A and D only

Q123. Given below are two statements: one is labelled as Assertion (A) and the other is labelled as Reason (R). [December 2025 · Q.95]

Assertion (A): Prices of diesel and petroleum products are different in different states of India.

Reason (R): The above products have not yet been brought under the coverage of GST by the GST Council.

In the light of the above statements, choose the most appropriate answer from the options given below:

- (1) Both (A) and (R) are correct and (R) is the correct explanation of (A)
- (2) Both (A) and (R) are correct but (R) is not the correct explanation of (A)
- (3) (A) is correct but (R) is not correct
- (4) (A) is not correct but (R) is correct

Q124. Which of the following commodities are not covered by GST till now? [December 2025 · Q.98]

- (A) Mobile phones
- (B) Electricity
- (C) Textiles
- (D) Alcohol

Choose the correct answer from the options given below:

- (1) A and C only
- (2) B and C only
- (3) A and D only
- (4) B and D only

Q125. Increased fiscal deficit leads to: [December 2025 · Q.100]

- (A) Increase in government spending
- (B) Increase in domestic interest rate
- (C) Fall in private investment
- (D) Fall in total borrowing by the government

Choose the correct answer from the options given below:

- (1) A, B and D only
- (2) A, B and C only
- (3) B, C and D only
- (4) B and D only

Q126. Consider the following items and figures. [December 2025 · Q.102]

Items	Amount (in Rs. Crores)
a. Total revenue receipts	5600
b. Total capital receipts	3000
c. Interest payments	800
d. Disinvestment receipts	400
e. Total expenditure	8600
f. Recovery of loans	150

What is the amount of primary deficits?

- (1) Rs. 2140 crores
- (2) Rs. 3000 crores
- (3) Rs. 1650 crores
- (4) Rs. 2450 crores

Q127. The following statements are made in the Union Budget for the year 2025-2026: [December 2025 · Q.121]

- (A) The FDI limit for the insurance sector will be raised from 74 to 100 percent
- (B) The FDI limit for the insurance sector will be raised from 51 to 74 percent
- (C) An investment Friendliness Index of states will be formed
- (D) The fiscal deficit is estimated to be 4.4 percent of GDP

Choose the correct answer from the options given below:

- (1) B, C and D only
- (2) A, C and D only
- (3) A, B and C only
- (4) C and D only

Q128. How much revenue will have to be foregone due to different beneficial proposals in the central budget 2025-26? [December 2025 · Q.137]

- (1) Rs. 2 Lakh Crore as direct taxes and Rs. 5600 Crore as indirect taxes
- (2) Rs. 1.5 Lakh Crore as direct taxes and Rs. 5600 Crore as indirect taxes
- (3) Rs. 1 Lakh Crore as direct taxes and Rs. 2600 Crore as indirect taxes
- (4) Rs. 50,000 Crore as direct taxes and Rs. 2000 Crore as indirect taxes

Q129. A theory that explains the phenomenon of increasing public expenditure and state activity was proposed by: [December 2025 · Q.140]

- (1) Baumol
- (2) Allan Peacock
- (3) Dalton
- (4) Adolf Wagner